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Research

The Rise of the RMB Financing Ecosystem

From Panda and Dim Sum Bonds to Deeper Capital Markets

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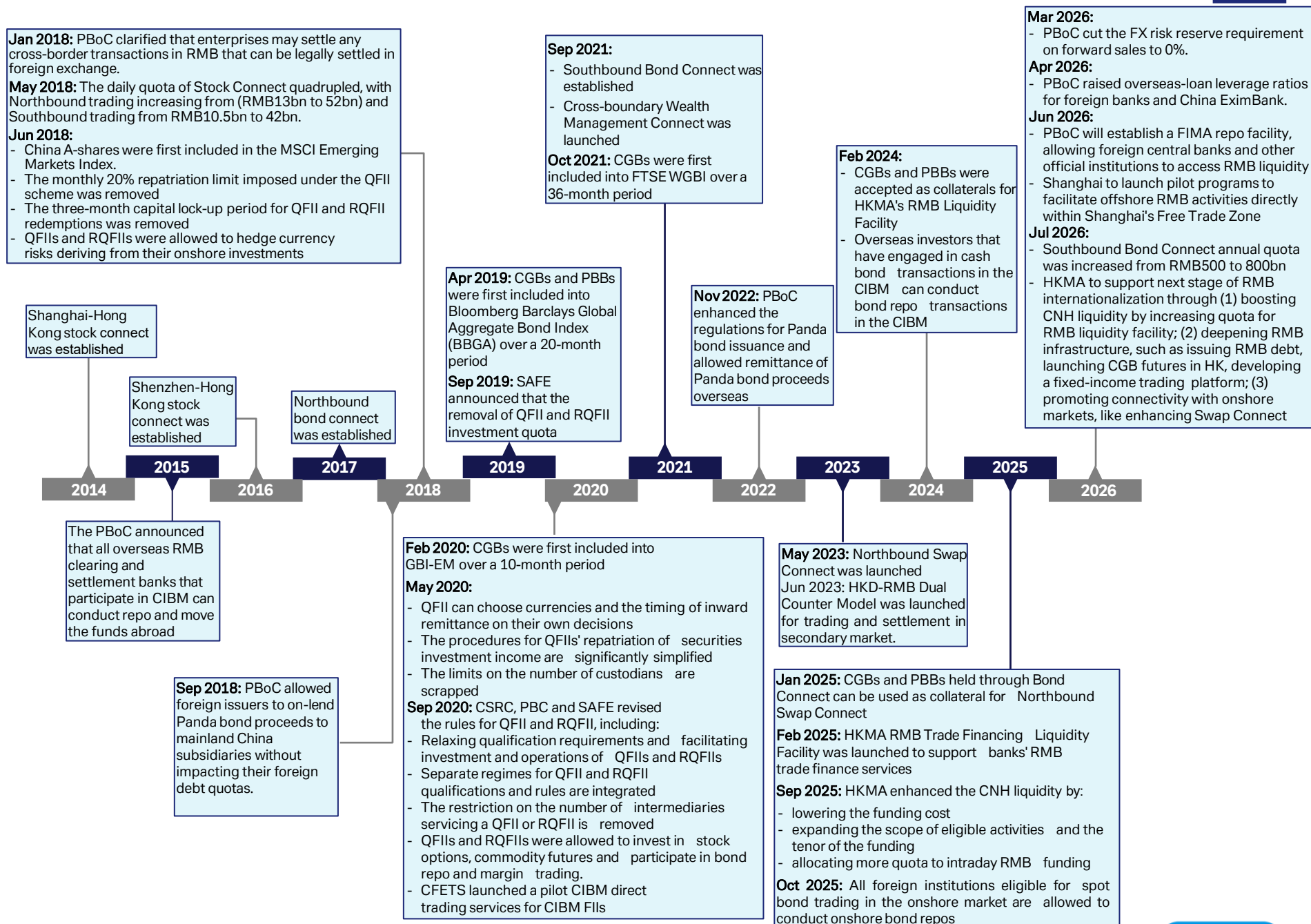
IMPORTANT RESEARCH DISCLOSURES LOCATED IN APPENDIX 1.

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- **RMB's global ambition.** China is actively shifting RMB from one used for trade to a global investment and financing currency. The Panda (CNY bonds issued by foreign entities within China) and Dim Sum (CNH bonds issued in Hong Kong) bond markets are the core pillars of this strategy, creating the necessary ecosystem for the RMB's international expansion.
- **Panda bonds - Unlocking onshore China for global use.** The onshore Panda bond market has matured into a strategic funding tool for foreign issuers. Thanks to regulatory easing on fund usage, over half of the proceeds are now used offshore, making it a flexible funding instrument and cementing the role of foreign participants who now account for over 30% of issuance.
- **Dim Sum bonds - A deepening offshore hub.** The offshore Dim Sum market is experiencing a surge in sophistication and diversity, signaling its evolution from a policy-driven market into a mature offshore funding hub. It is now driven by new issuers like tech firms, is offering longer-term bonds, and is set to receive a massive demand boost from new regulations allowing mainland insurers to invest in the market.
- **Next frontier - a focus on building a complete financial ecosystem.** While both markets are growing, challenges remain, including broadening the issuer base beyond financial institutions. The key to addressing these challenges is building a complete RMB financing ecosystem, supported by deep secondary-market liquidity, reliable benchmark yield curves for price discovery, and comprehensive risk-management tools. Ultimately, this is a gradual but foundational journey to establish the RMB as a more widely funded, invested, and held international currency.
- **Expanding European participation in RMB funding markets.** While European entities dominate foreign issuance in both Panda and Dim Sum markets, this participation is highly concentrated among a few financial sector repeat borrowers, with corporates largely absent. Barriers include smaller deal sizes, a narrower investor base, and lack of market familiarity. As RMB internationalization progresses, we anticipate broader international issuer participation, particularly from European corporates given strengthening EU-China ties.

RMB internationalization timeline



RMB Internationalization: A New Chapter Driven by Diverging Bond Markets



China's policy stance on RMB internationalization has shifted from cautious to explicit, with the 15th Five-Year Plan (2026-30) elevating it to a strategic priority. This shift is supported by a series of concrete actions in early 2026 amidst a global de-dollarization trend. However, progress remains uneven. While there is strong official commitment, evidenced by record transaction volumes on China's Cross-Border Interbank Payment System (CIPS) and a surge in RMB goods trade settlement to a projected 30% by 2025, the currency's broader global footprint is still modest. The RMB holds only a 1-4% share across global payments, FX reserves, and debt securities, which is disproportionately low compared to China's approximately 19% share of global GDP.

A fundamental change has occurred in the nature of cross-border RMB usage. The center of gravity has moved from trade to investment flows, with capital and financial account transactions now constituting around 75% of total RMB settlements. **This means the next phase of internationalization requires building a deeper and more accessible financial ecosystem for raising and deploying RMB capital globally.** This includes creating more robust channels for funding, such as the onshore Panda and offshore Dim Sum bond markets, alongside more sophisticated hedging tools and a broader array of attractive RMB-denominated assets.

Since 2025, these two key bond markets have entered a new, more dynamic chapter, accelerating on different tracks and developing distinct characteristics. **The onshore Panda bond market is experiencing a record year, with issuance in the first half of 2026 exceeding RMB160bn.** This boom is driven by fundamental improvements to its architecture, including streamlined issuance procedures and more flexible rules that allow issuers to remit proceeds overseas. This has transformed Panda bonds from a ring-fenced currency pot into a source of globally usable RMB funding.

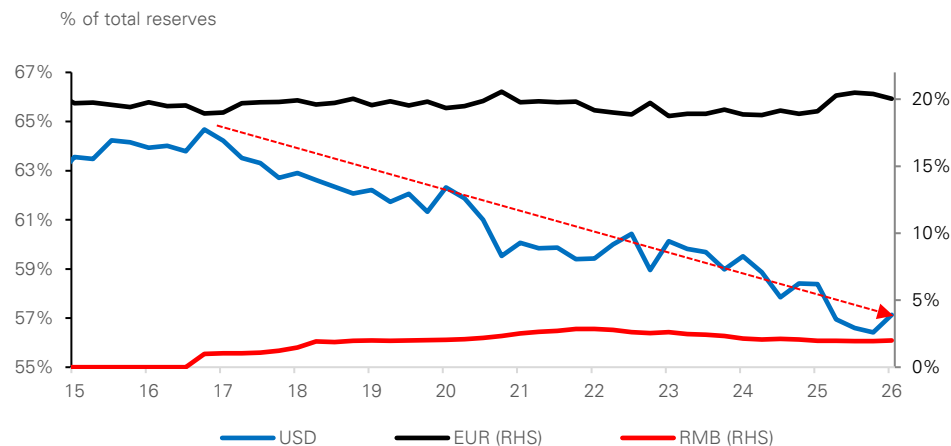
In contrast, **the offshore Dim Sum market's strong growth is driven by demand diversification.** It is poised for a significant boost as mainland insurers gain access via the Southbound Bond Connect, whose quota has been expanded to RMB 800bn, creating a new source of demand for an increasingly foreign-led issuer base.

The markets are also evolving with unique "DNA." **The Panda market's issuer base remains dominated by traditional sectors like financials, while the Dim Sum market is diversifying and embracing tech.** Issuance from IT giants has risen sharply in the Dim Sum market as they seek cheap, long-tenor funding for their AI and cloud capex cycles. This reflects a difference in their duration profiles as well. The Panda market remains overwhelmingly short-term, with nearly all issuance at three years or less due to bank-dominated demand and a flat yield curve. Conversely, the Dim Sum market is showing clear maturity with a growing share of bonds in the 5-year and longer tenors, which better aligns with the investment horizons of the tech sector.

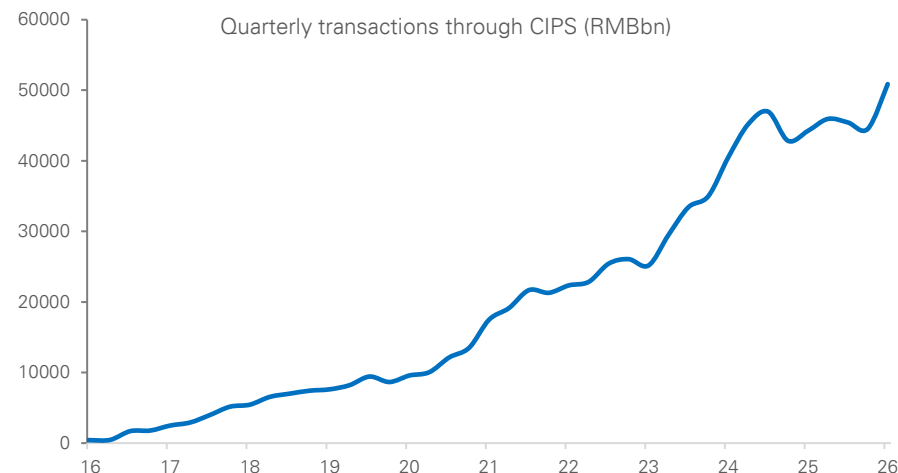
A strategic push amid ongoing de-dollarisation theme



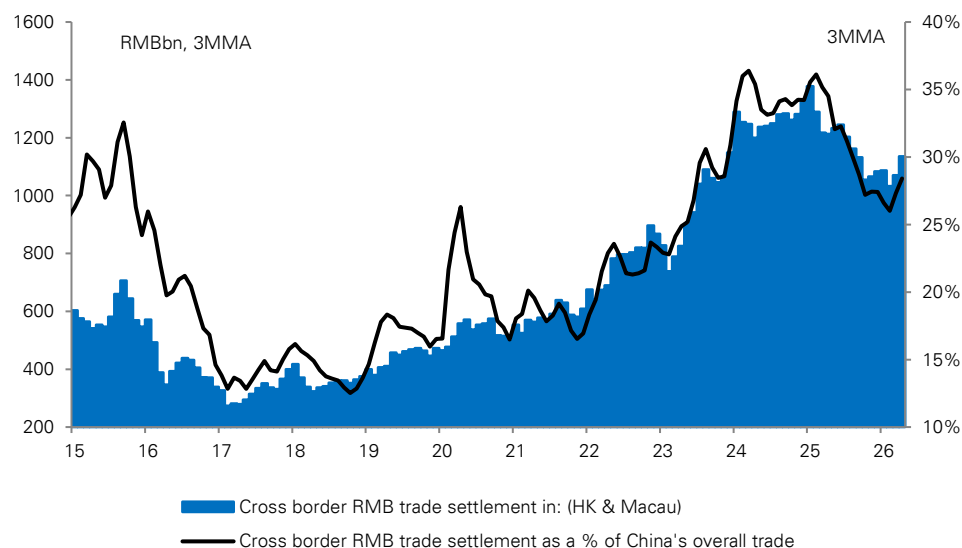
USD's declining share of reserves points to ongoing de-dollarization



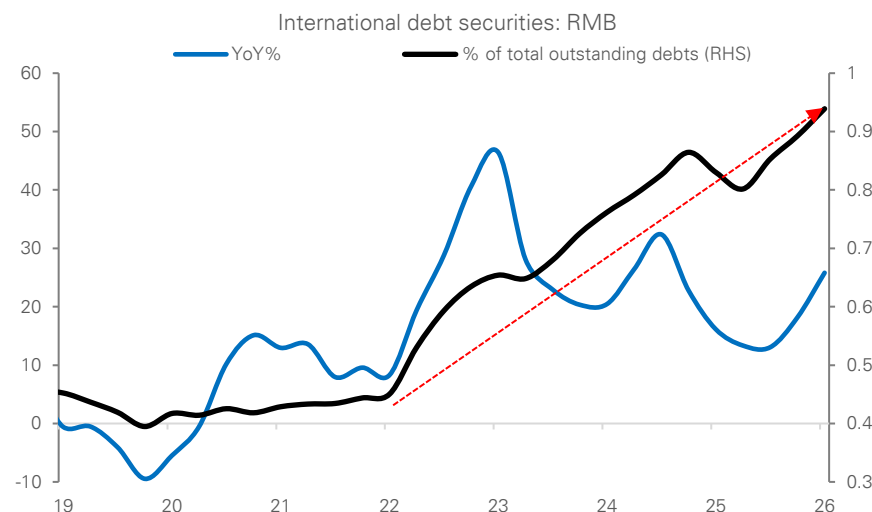
RMB transactions through CIPS hit a record high



A more active use of RMB in trade settlement



RMB-denominated debt issuance has risen notably particularly as China pushes to develop the Panda and Dim Sum Bond markets

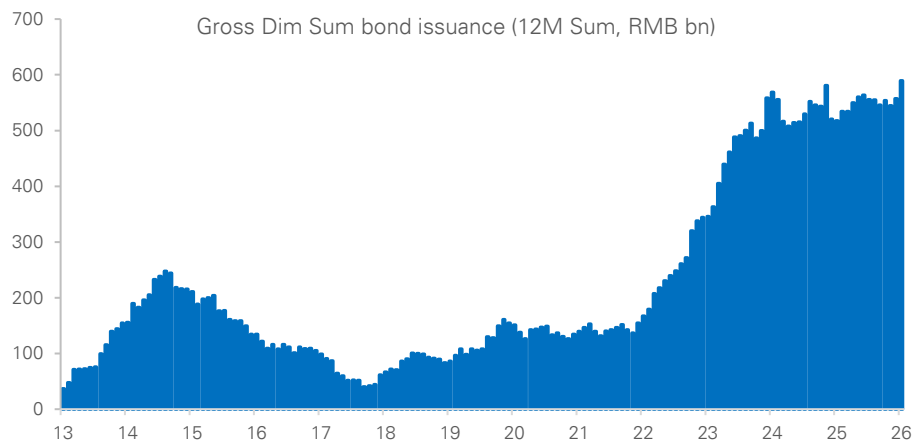


Source: Deutsche Bank Research, Bloomberg Finance LP, CEIC, Haver, Wind

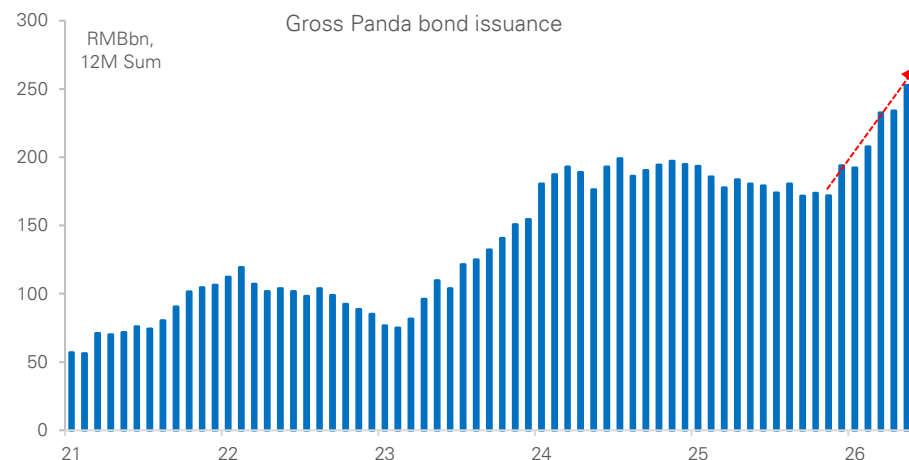
The divergence in focus - key trends to note



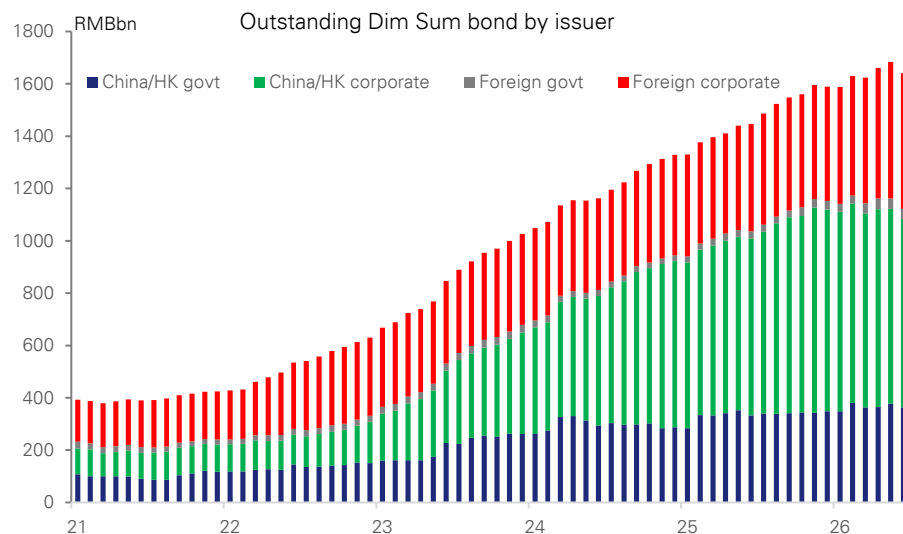
Steady growth in the Dim Sum bond market poised to deepen



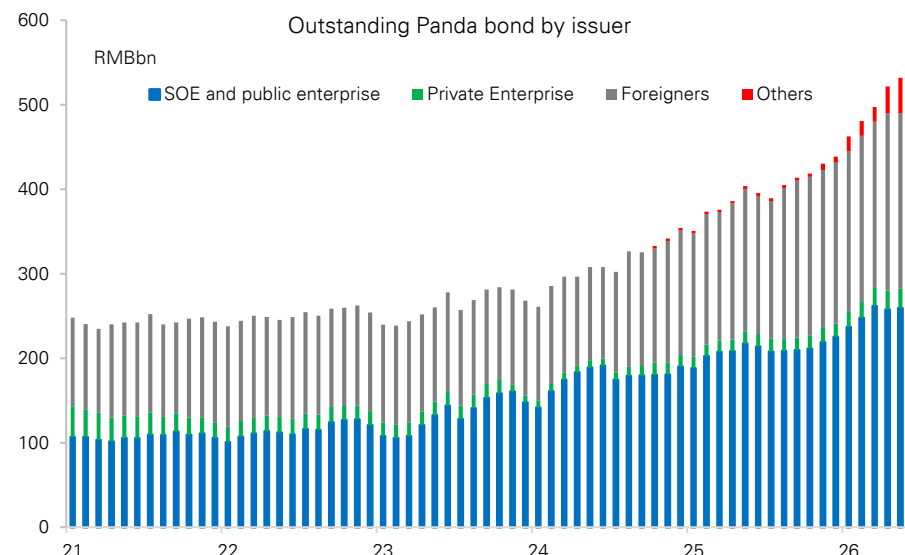
Policy easing unlocks new growth phase in the Panda bond market



Becoming the Go-To offshore RMB hub not just for government entities but also corporates



A hybrid market set to attract more foreign issuers



Source: Deutsche Bank Research, Bloomberg Finance LP, CEIC, Haver, Wind

Panda Bonds - Maturing into a funding tool



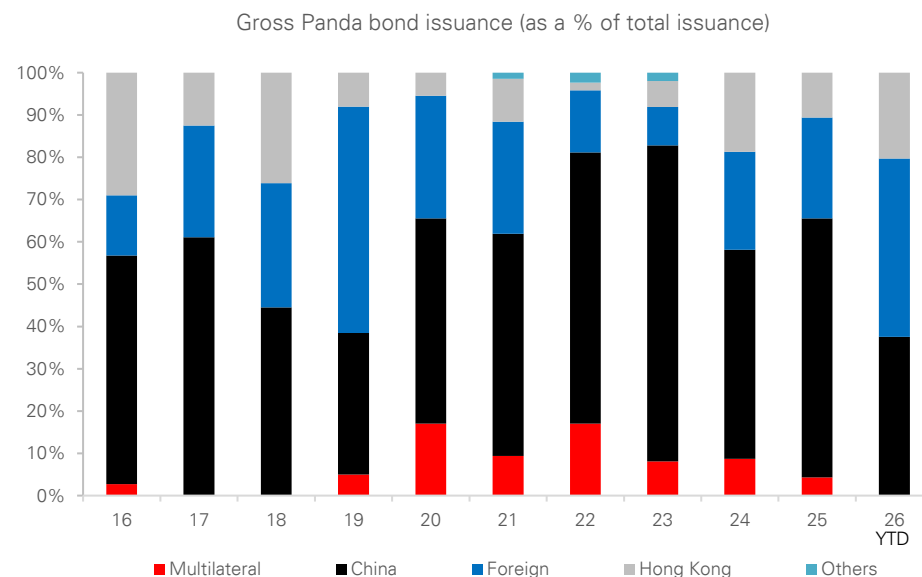
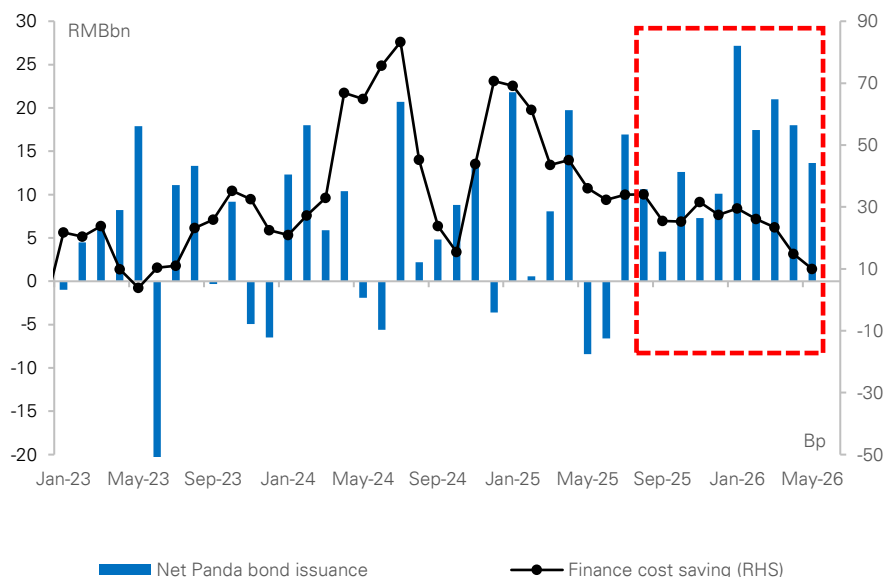
The Panda bond market's record issuance year, even without a clear cost advantage, confirms its shift from a tactical choice to a strategic funding tool. This maturation is driven by two key structural changes:

- **From onshore tool to global funding.** Regulatory easing has been a game-changer. Over half of Panda bond proceeds (53%) are now used offshore, making it a flexible, globally-integrated RMB funding instrument.
- **From niche to mainstay.** Foreign issuers are now a cornerstone of the market, consistently accounting for over 30% of issuance and showing early signs of diversification beyond just financial institutions.

While the market remains concentrated in short-term debt (<3 years) and dominated by domestic bank investors, the modest return of foreign buyers is a positive signal for future market depth.

Issuance remains resilient as market moves beyond cost saving

Foreign participation becomes a cornerstone of the market

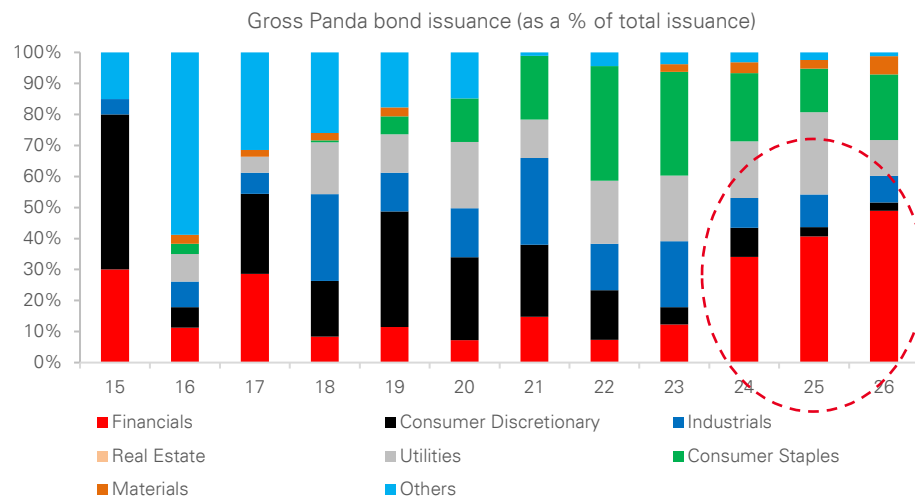


Source: Deutsche Bank Research, Bloomberg Finance LP, CEIC, Haver, Wind

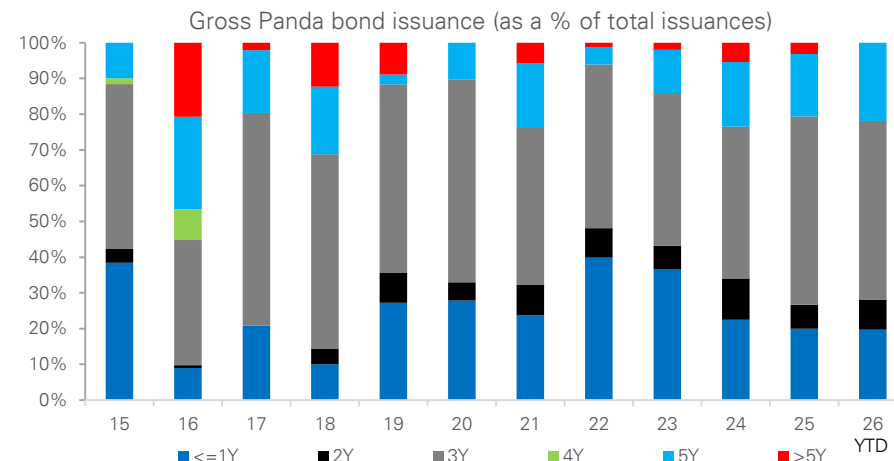
Key trends shaping the Panda market



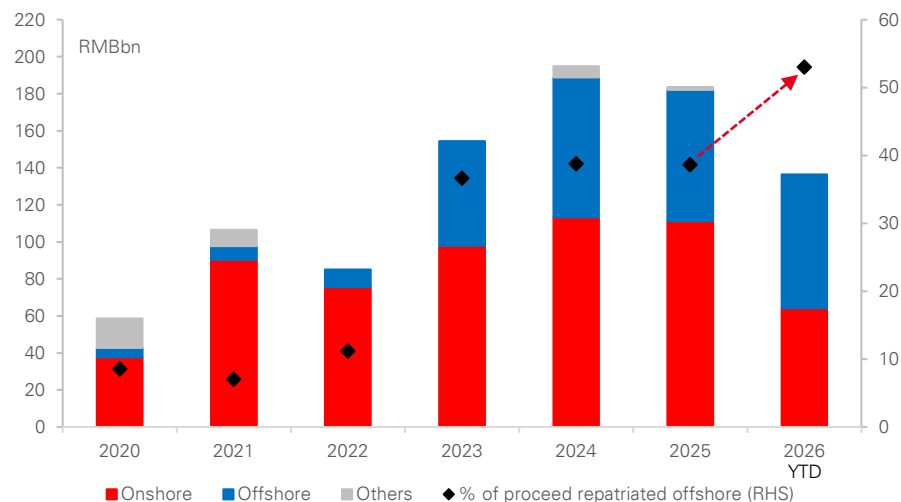
Financials continue to pave the way for broader issuer growth



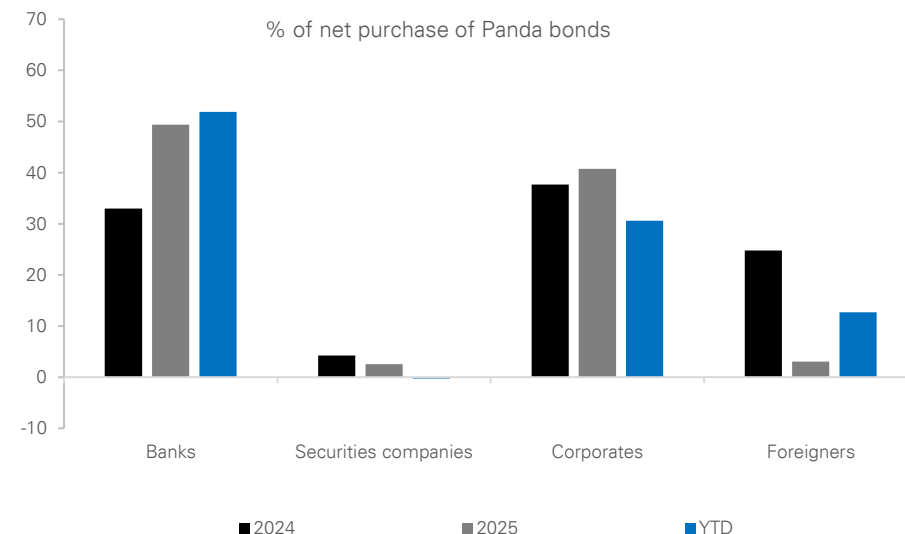
Short tenors still dominate, highlighting room for market deepening



Flexibility increases as offshore use becomes the default



Foreign investor demand returns, signalling renewed confidence



Source: Deutsche Bank Research, Bloomberg Finance LP, CEIC, Haver, Wind

Dim Sum market is becoming deeper and more diversified

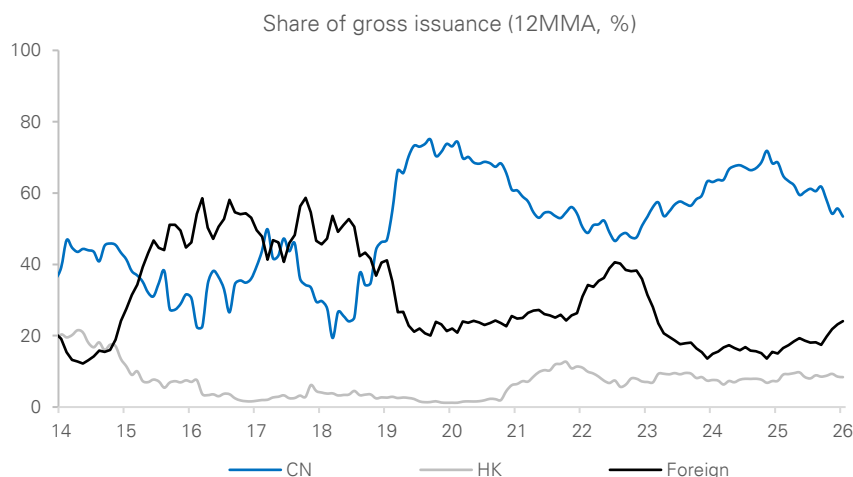


The offshore Dim Sum market is undergoing a structural transformation, becoming deeper and more sophisticated. Three key trends define its new trajectory.

- **Issuer base revolution.** The market is now driven by new participants. Foreign entities have become a cornerstone, accounting for over 25% of issuance. Domestically, high-growth Tech/IT companies have decisively replaced real estate as the primary issuers, reflecting growing demand for long-duration RMB funding to support AI, cloud and digital infrastructure investment.
- **Market maturation.** Issuance tenors are extending significantly. The growing share of bonds with 5+ year maturities, and the emergence of a nascent 15Y+ market, signal rising investor confidence and more sophisticated funding strategies.
- **Demand catalysts unlocked.** Recent policy changes are a game-changer for demand. Allowing mainland insurers to buy Dim Sum bonds via Southbound Bond Connect, alongside an increased quota (to RMB800bn) and wider product scope, is set to unlock a massive and sustainable new pool of capital.

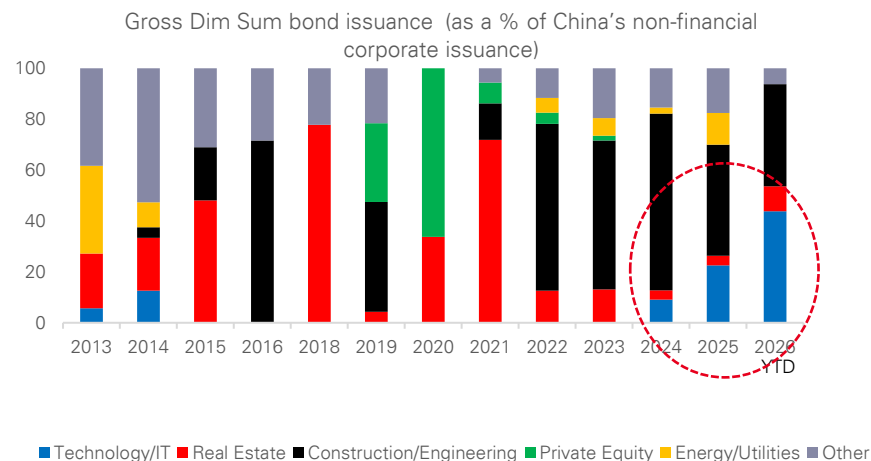
In short, the Dim Sum market is evolving from a niche offshore CNH pool into a more mature, diversified, and institutionally supported market with a powerful new demand base on the horizon. Together, these developments are helping to establish the foundations of a deeper and more liquid offshore RMB capital market.

Foreign participation becomes a cornerstone of the market



Source: Deutsche Bank Research, Bloomberg Finance LP, CEIC, Haver, Wind

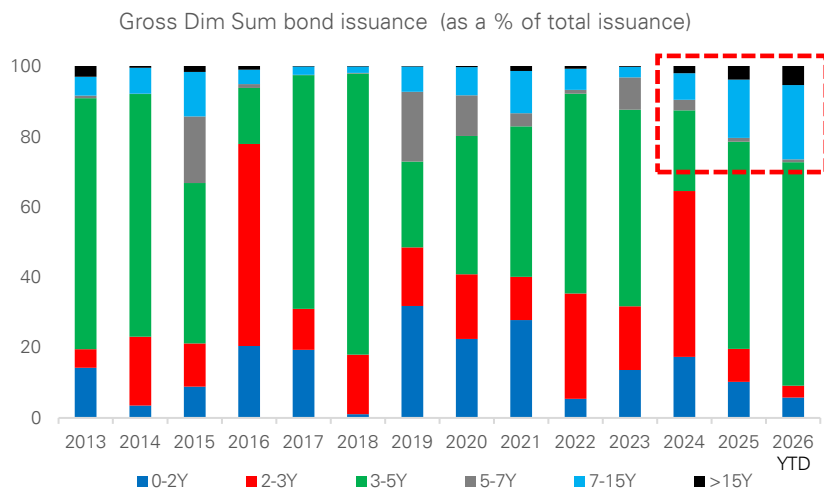
Tech firms replace property-linked sectors among domestic issuers



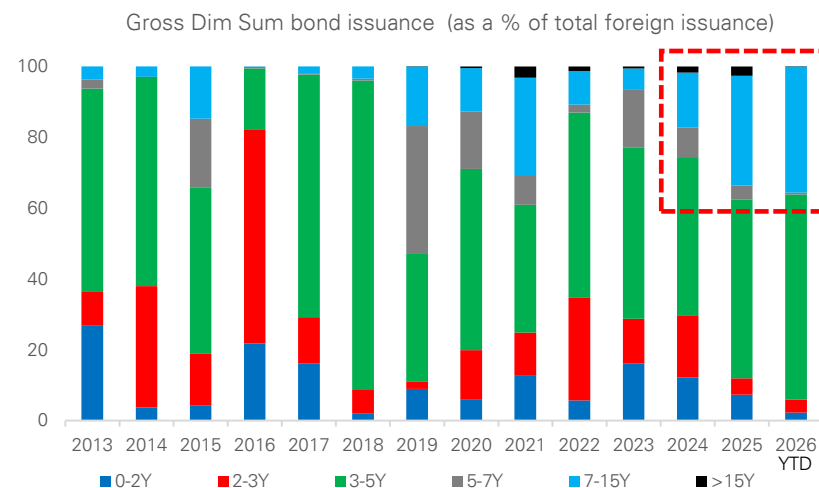
Market depth and demand continue to improve for Dim Sum bonds



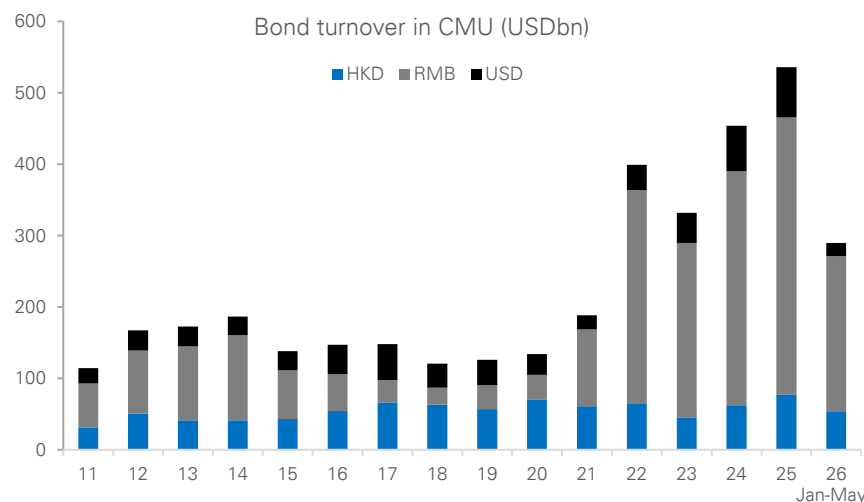
Extended issuance tenor for Dim Sum bonds...



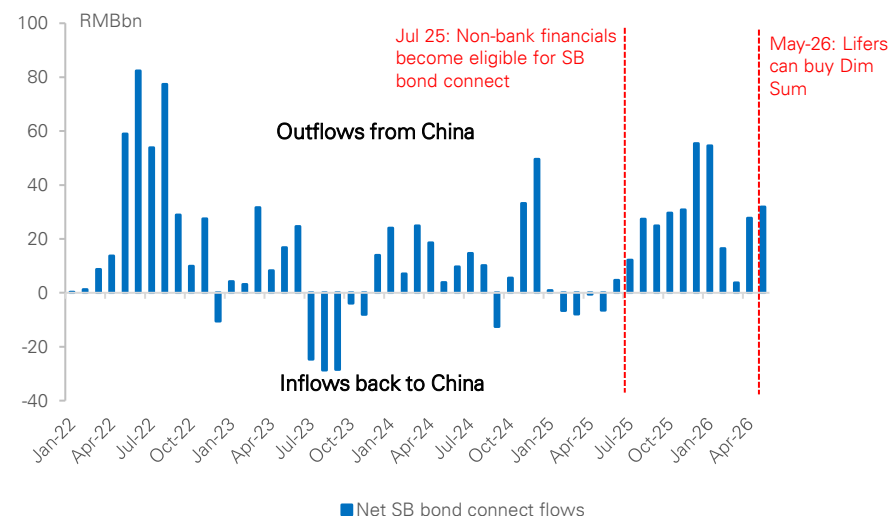
...led by foreign issuers



RMB bonds dominate Hong Kong bond market



Supportive demand-side regulation should underpin Dim Sum demand



Source: Deutsche Bank Research, Bloomberg Finance LP, CEIC, Haver, Wind



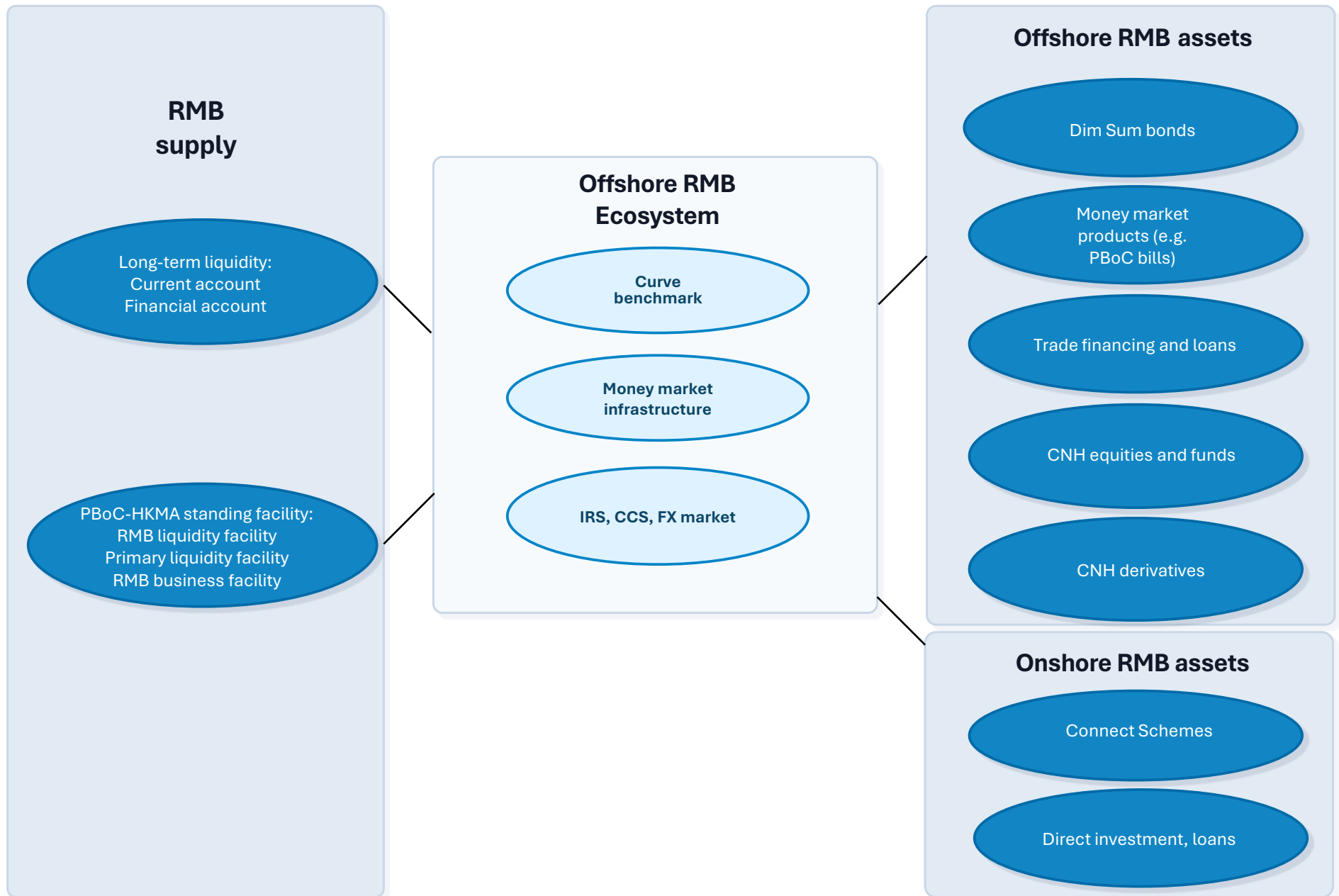
Over the next five years, **Panda and Dim Sum bonds are set to be the two core pillars driving the RMB's evolution from a trade-settlement currency into a global investment and financing currency.** Together, these markets are creating a comprehensive ecosystem that provides the essential assets for international players to fund, invest, and manage RMB holdings.

The Panda bond market, where foreign entities issue RMB-denominated debt inside mainland China, is successfully transitioning from a policy initiative to a viable funding channel. Regulatory reforms have improved access for a diverse range of international issuers, leading to growing market confidence and projected annual volume growth of 20-30%. However, significant hurdles remain, including a narrow investor base, a lack of robust tools for hedging interest rate risk, and complex issuance rules that need further standardization.

Concurrently, **the Dim Sum bond market, consisting of RMB bonds issued outside mainland China (primarily in Hong Kong), is solidifying its position as the primary offshore RMB hub.** The focus here is on building a reliable benchmark yield curve through regular government issuance and upgrading market infrastructure with enhancements to Bond Connect and innovations like digital bonds. This market's growth, however, remains highly sensitive to offshore RMB liquidity, currency expectations, and overall investor demand. Its long-term success depends on creating a deep and sustainable ecosystem rather than just growing issuance volume.

Ultimately, **the development of these bond markets is a gradual but foundational journey.** Much like the "Samurai" market was for the internationalization of the Japanese Yen, Panda and Dim Sum bonds are creating the necessary building blocks for the RMB's global future. While this evolution is subject to broader factors such as capital account policies, market reforms, and the geopolitical landscape, the strategic goal is clear: to establish a robust foundation for the RMB to be more widely funded, invested, and held across the world.

Offshore RMB Ecosystem: from RMB supply to RMB asset formation



Source: Deutsche Bank Research

Expanding European participation in RMB funding markets



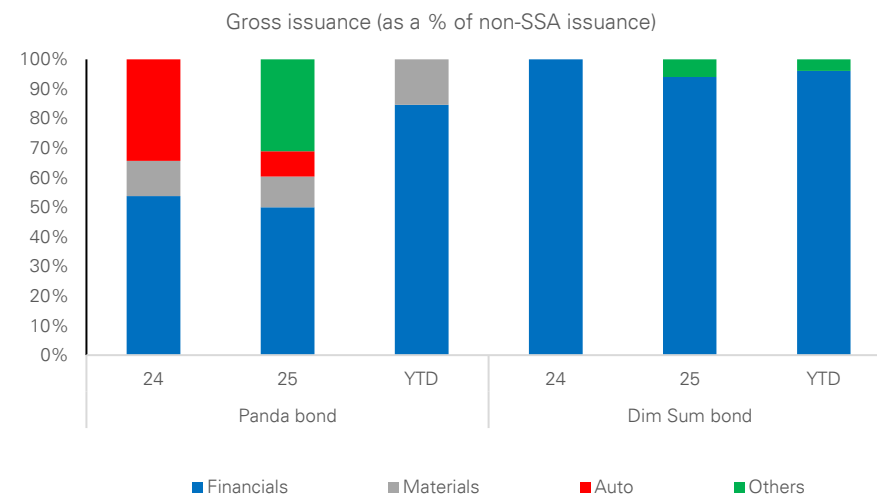
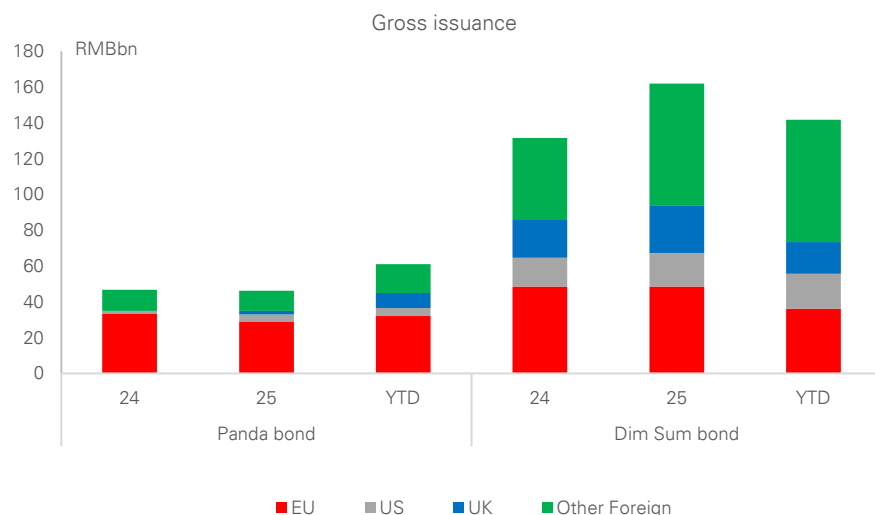
European entities are major players in the RMB bond market, representing over half of foreign Panda and a third of Dim Sum issuance. However, the issuer base is highly concentrated, with financial institutions dominating (85-95%) and repeat borrowers accounting for over 90% of activity. The key challenge lies in attracting new issuers, not retaining existing ones.

Primary hurdles include smaller deal sizes compared to major markets, a narrower investor base, and lack of market familiarity. These factors often make the upfront investment in RMB funding infrastructure, documentation, and investor relationships economically unfeasible.

Looking ahead, we anticipate these barriers will ease with RMB internationalization. A deeper offshore RMB ecosystem will support larger benchmark issuance, broaden the investor base, and improve liquidity. Further development of CNH derivatives markets will simplify currency risk hedging and RMB proceeds swaps. Additionally, China's low interest rates and growing China-related business exposure could enhance RMB funding appeal for international corporates. As the cost-benefit equation improves, we expect future market development to be driven by a broader range of international issuers, particularly European corporates, rather than larger issuances from existing borrowers.

EU issuers account for a large share of foreign RMB bond issuance...

...but the issuances are overwhelmingly concentrated in financial institutions

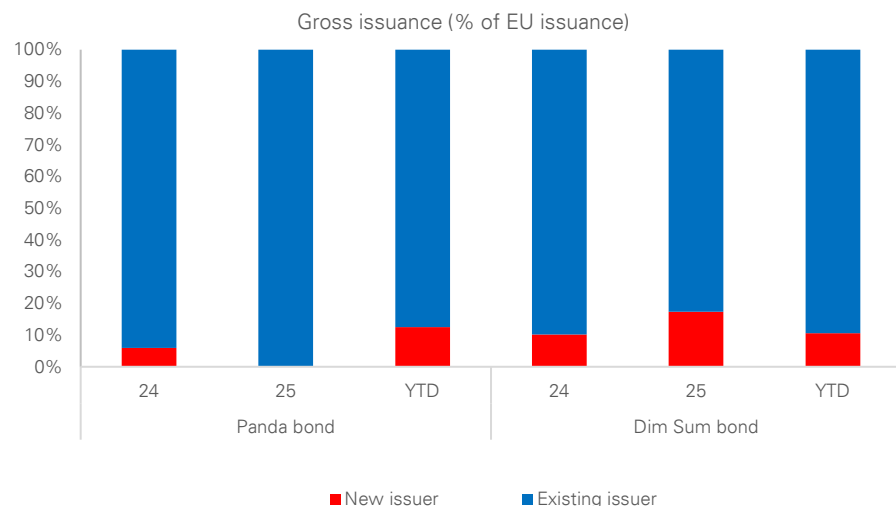


Source: Deutsche Bank Research, Bloomberg Finance LP, CEIC, Haver, Wind, BIS

Structural tailwinds point to a broader EU issuer universe



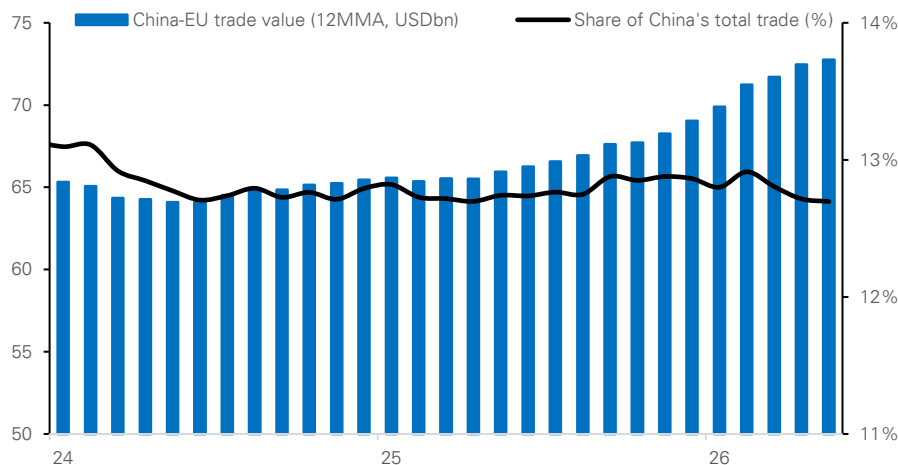
EU RMB bond issuance remains dominated by repeat borrowers



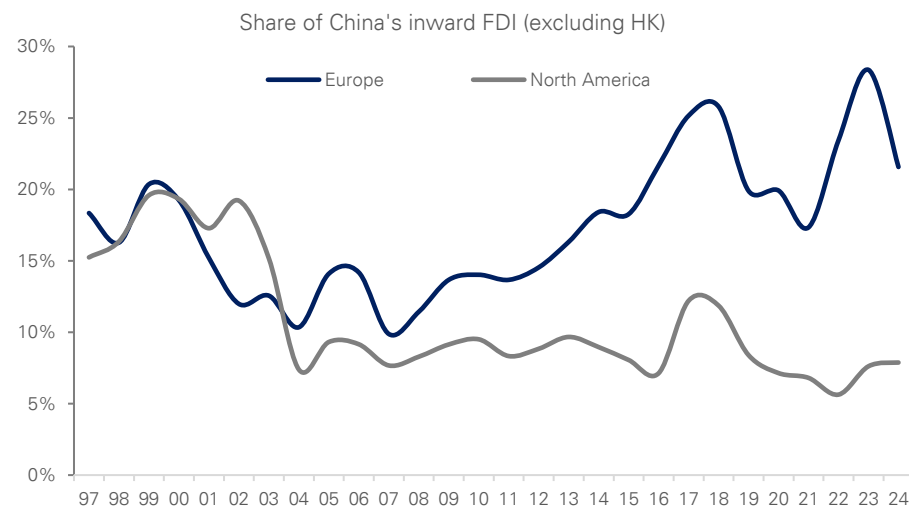
Global debt markets are gradually diversifying away from USD



EU is China's biggest trading partner...



...the most important source of FDI



Source: Deutsche Bank Research, Bloomberg Finance LP, CEIC, Haver, Wind, BIS



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